

North Delhi Power Ltd. v. Govt. of N.C.T. of Delhi & Ors. (with BSES Rajdhani Power Ltd. v. Govt. of N.C.T. of Delhi & Anr.)

Supreme Court of India · Two-Judge Bench · 3 May 2010 · AIR 2010 SC 2302 · Civil Appeal Nos. 4269-4270 of 2006 · **Appeals dismissed; successor distribution companies held liable for retired/terminated Delhi Vidyut Board employees' pension/terminal benefits**

HEADNOTE

Not a Supply Code case — a dispute between successor DISCOMs (North Delhi Power Ltd. and BSES Rajdhani Power Ltd.) and the Government of NCT of Delhi over which entity bears liability for pension, terminal-benefit, and service-related claims of employees of the erstwhile Delhi Vidyut Board (DVB) who had already retired, been dismissed, or removed before the Board's unbundling into private distribution companies under the Delhi Electric Reforms Act, 2000 and its Transfer Scheme Rules, 2001. The Supreme Court held, construing Rule 6(8)/(9) of the Transfer Scheme Rules, 2001 (a self-contained code for 'personnel and personnel-related matters'), that liability for all statutory/employment-related schemes — including pension, gratuity, and superannuation funds for existing pensioners — passed to the relevant successor DISCOM, not merely for employees who were on the rolls and formally transferred, and that the Rule 8(3) litigation-liability cap (capped at Rs. 1 crore/year per DISCOM) also covers employee-related claims. Recorded here only for corpus completeness — a wholesale employer-successor-liability/personnel dispute among privatised DISCOMs, entirely outside the retail consumer-facing Supply Code framework.

HOLDING-UNITS

INTERPLAY · OFFTOPIC::discom-unbundling-employee-pension-liability

Successor DISCOM liability for pension/terminal-benefit claims of Delhi Vidyut Board employees who had already retired/been dismissed before unbundling — an employer-succession dispute among privatised distribution companies, unrelated to consumer billing/Supply Code

HOLDING

Rule 6 of the Transfer Scheme Rules, 2001 is a complete, self-contained code governing 'personnel and personnel-related matters' (Rule 3(2)), broad enough to cover retired, dismissed, and deceased employees, not merely those formally on the transfer list; under Rule 6(8), the relevant successor DISCOM stands substituted for the Board for all statutory/employment-related schemes including pension and superannuation funds for 'existing pensioners'. The litigation-liability cap in Rule 8(3) (Rs. 1 crore per annum per DISCOM) applies equally to personnel-related claims, not only third-party/consumer litigation. The successor DISCOMs (NDPL, BSES Rajdhani) were accordingly held liable for the pension/terminal-benefit claims of pre-unbundling retirees/dismissed employees of the erstwhile DVB, subject to the Rule 8(3) cap. ¶ paras 15-56 (~209-para judgment; core reasoning at paras 15-33, 44-51)

FLAG Recorded compactly given its scale (~2000 lines) and its subject (post-privatisation employer-successor pension/personnel liability dispute among DISCOMs), which has no nexus to the U.P. Electricity Supply Code's consumer billing/assessment/disconnection framework central to this project; not exhaustively digested.